

CORPORATE COMMITTEE 29 JANUARY 2026

Report title: Counter Fraud Progress Report 2025-26

Wards: All

Portfolio: Acting Cabinet Member for Finance: Councillor Judith Cavanagh

Report Authorised by: Zena Cooke: Corporate Director of Finance

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REPORT SUMMARY

This report provides the Corporate Committee with an update on the progress of Counter Fraud activity in 2025/26.

FINANCE SUMMARY

There are no direct financial implications arising from this report.

RECOMMENDATIONS

1. To consider progress and outcomes of counter fraud activity for 2025/26 and that Committee agree to receive the updated Counter Fraud Strategy at the March 2026 meeting.

1. CONTEXT

- 1.1 The Corporate Committee has responsibility for oversight of the Council's arrangements for governance, risk management and control, including counter fraud activity, this report assists the Committee in discharging its responsibilities.

2. PROPOSAL AND REASONS

- 2.1 The Corporate Committee, in its 'audit committee' role, receives regular reports on the progress and outcomes of counter fraud activity and investigation work. The Committee should consider what assurance can be derived and what, if any, unresolved risks or issues it needs to address.
- 2.2 In keeping with the recommendations made by the Chartered Institute of Public Finance and Accountancy (CIPFA), counter fraud activity is reported separately to internal audit. This report provides an update on counter fraud activity for the 2025/26 financial year (to 31 December 2025).

Counter Fraud Progress 2025/26

- 2.3 Appendix One shows progress to date in key areas of activity. Briefly:
 - a) New investigations are at a higher rate than in the previous year although this can change month by month and doesn't reflect any issue or concern (chart one).
 - b) Active investigations are up on last year's totals due to a higher rate of new investigations and fewer closures (chart two). The reduction in the number of closures isn't significant and may increase in the coming months in line with the previous year's total
 - c) Tenancy recommendations are up on the previous year. In addition, the number of outstanding recommendations with Housing and Legal currently stands at 164 compared to 148 in April 2025. This is reflected in the number of recoveries which is down on last year (charts three and four). Although recoveries are lower at this stage than in the previous year, we are hopeful that more recoveries will be secured by Housing and Legal because of the recommendations we have made. The process of property recovery is not always linear, and Counter Fraud are not in control of how quickly properties are recovered. If more tenants are fighting recovery proceedings rather than relinquishing their tenancies when found to be committing fraud this delays the time taken to get properties back.
 - d) Internal investigation reports are higher than last year despite being one internal investigator down since May 2025 (chart seven).
- 2.4 Fraud prevention reviews are carried out in business areas with functions that are at a high-risk of fraud. Our Fraud Prevention Officer will work with the services concerned to highlight the risks and to suggest how the risks can be mitigated.
- 2.5 A fraud prevention review has recently been completed relating to Homelessness and Temporary Accommodation. The review and recommendations have been shared with management, and we are awaiting their responses. Other reviews are in progress, including Contract Management. The objective of the reviews is to ascertain the current process and procedures in place and what action is taken in relation to fraud risks in these areas. The reviews will result in reports to management and will include recommendations of what action can be taken to minimise the risk of fraud. The recommendations and resulting management actions will be tracked through to completion.
- 2.6 The Fraud Prevention Officer is rolling out counter-fraud training to Contract Managers and those involved in the procurement life cycle. Discussions are ongoing with Procurement to include this in their training schedule, and it is anticipated that the training will take place before the end of the current financial year.
- 2.7 The Lambeth and Croydon Counter Fraud Shared Service are members of the Government Counter Fraud Profession (GCFP) through the Local Authority Collective who hold self-certifying

membership. Counter Fraud are participating in peer reviews which are a requirement of membership. Peer reviews provide assurance to the GCFP that members of the collective are meeting the required standards. The Hertfordshire Anti-Fraud Shared Service recently completed a review of the Counter Fraud Service and concluded that, *'the Counter Fraud Team at Lambeth and Croydon councils. The Counter Fraud Team is a recognised centre of excellence with its officers receiving national awards, its support and leadership of the local authority collective for the Government Counter Fraud Profession and its work with London Boroughs Fraud Investigators Group and other Counter Fraud networks across the public sector.'*

2.8 Two recommendations were made as part of the review both of which have been accepted and being implemented. Both documents will be finalised for 01/04/2026; the Strategy will be shared at the March Corporate Committee meeting. The Manual is an operational document and as such isn't shared with Committee. However, if Members would like sight of the document, it can be shared outside of Committee.

- The Counter Fraud Manual that provides a step-by-step approach to a wide variety of operational work. This document is being updated at present and although it is shared with the whole team when published as the team changes or officers change roles within the Team they may not always be aware of this document. If officers could be reminded of the manual at team meetings or annual reviews and provided with a copy/link when they join the service, this might help to keep sight of it and ensure a consistent approach to all work across the service and compliance with legislation and local policies.
- The Counter Fraud Policy and Response Plan appear to replicate the much more detailed Counter Fraud Strategy. The recommendation was to combine the two policy documents with the new Strategy Document to provide once over-arching source and prevent duplication.

3. FINANCE

3.1 There are no direct financial implications arising from this report.

4. LEGAL AND DEMOCRACY

4.1 Counter Fraud has a role in helping the Council to fulfil its responsibilities under s.151 of the Local Government Act 1972, which specify that each local authority shall make arrangements for the proper administration of their financial affairs.

4.2 There are no further comments from Democratic Services.

5. CONSULTATION AND CO-PRODUCTION

5.1 Officers and Members are provided with updates on counter fraud activity and were consulted during the drafting of this report.

6. RISK MANAGEMENT

6.1 An ineffective counter fraud response could result in inadequate governance, risk and control arrangements resulting in increased risks of fraud, financial loss, waste or error and the potential for adverse criticism from the external auditor, other agencies or the public.

7. EQUALITIES IMPACT ASSESSMENT

7.1 Not applicable.

8. COMMUNITY SAFETY

- 8.1 The Corporate Committee provides oversight on behalf of the Council on all arrangements for governance, risk management and internal control, this includes activity linked to community safety.

9. CHILD FRIENDLY LAMBETH

- 9.1 There were no implications for child safety identified from any of our investigations our fraud prevention activity. Any investigations carried out related to school staff or similar child centred roles related to financial impropriety and not safeguarding or similar.

10. ORGANISATIONAL IMPLICATIONS

Environmental

- 10.1 Not applicable.

Health

- 10.2 Not applicable.

Staffing and accommodation

- 10.3 Not applicable

Responsible Procurement

- 10.4 Not applicable.

Good Quality Jobs with Fair Pay and Decent Working Conditions

- 10.5 Not applicable

Quality Apprenticeships, targeted Employment for Lambeth residents and Lambeth Priority Group

- 10.6 Not applicable

Reduce Emissions: Lambeth Council has a commitment to being Zero Carbon by 2030

- 10.7 Not applicable

Single Use Plastics

- 10.8 Not applicable

Positive Health and Wellbeing

- 10.9 Not applicable

Other Offers (Innovation)

- 10.10 Not applicable

11. TIMETABLE FOR IMPLEMENTATION

- 11.1 Not applicable.

AUDIT TRAIL

Name and Position/Title	Lambeth Directorate	Date Sent	Date Received	Comments in paragraph:
Councillor Judith Cavanagh	Acting Cabinet Member for Finance	02/01/2026	15/01/2026	
Zena Cooke, Corporate Director	Resources	02/01/2026	19/01/2026	1 and 2.8
Glenn Hammons, Director of Finance	Resources	06/01/2026	07/01/2026	
Paul Rock, Assistant Director Internal Audit and Counter Fraud	Resources	02/01/2026	02/01/2026	
Andrew Pavlou, Principal Lawyer	Resources	02/01/2026	08/01/2026	
Chloe Morris, Senior Democratic Services Officer	Resources	02/01/2026	06/01/2026	

REPORT HISTORY

Original discussion with Cabinet Member	15/01/2026
Report deadline	16/01/2026
Date final report sent	19/01/2026
Part II Exempt from Disclosure/confidential accompanying report?	No
Key decision report	No
Date first appeared on forward plan	Not applicable
Key decision reasons	Not applicable.
Background information	Local Government Act 1972 (legislation.gov.uk)
Appendices	Appendix one – Tables summarising investigation activity and outcomes.